

and improved accessibility of insurance coverage. The insurance companies are expected to better allocate their resources resulting in better and efficient capital management, again leading to rationalised cost of insurance for policyholders. Once the statute is amended, necessary regulations would be framed for the operation of composite insurers. The new dispensation, as and when approved, would provide a choice to the existing insurers. They may take a decision based on their business strategies whether to opt for a composite licence or to continue with their existing organisational form.

Q: Irdai has prescribed an overall cap on expenses of management (EoM) while allowing companies to have a board-approved commission payment policy. Many complain that it has intensified competition among insurers...

A: The comprehensive reforms [will] have overall positive implications for both the insurance industry and policyholders, by encouraging healthy competition, better affordability, improving service quality, increasing customer satisfaction, and promoting insurance penetration, thereby creating a more accessible and inclusive insurance landscape. This encourages a competitive market, allowing insurers to customise commission structures based on market needs. It would facilitate them to develop new business models, products, strategies, internal processes and enable them to fulfil the mission of Insurance for All. It would also provide insurers the flexibility to manage their expenses based on their growth aspirations. The board-approved policy enhances transparency, accountability, and adherence to regulations, enabling a more efficient distribution system and boosting customer confidence and satisfaction.

Q: A few players have recently been granted licences after a hiatus of five years. Can we anticipate further developments to increase insurance penetration in the country?

A: Irdai has the unique opportunity to develop the insurance sector, which necessitates ensuring availability, accessibility and affordability of insurance products for every person. A fresh landscape is being

built towards achieving the goal of 'Insurance for All' by 2047. It is based on the foundation of ease of doing business, mainstreaming technology, lucrative opportunities and ecosystem revamp. The Government of India has also opened up FDI (foreign direct investment) in insurance up to 74 per cent (from 49 per cent). FDI in intermediaries has been permitted up to 100 per cent. The facilitations have garnered interest from the stakeholders, with four new insurance companies having been registered in the last one year and a few more applications are under consideration. This is a testimony to the interest being generated in the insurance sector of India. This may lead to more players, more expertise, more technology and more capital in the sector and thus ultimately towards realising our vision of 'Bimakrit Bharat' where every citizen, family, business will be adequately protected and insured.

Q: Insurers can now launch direct plans. Going forward, do you plan to make direct plans mandatory on the lines of mutual funds?

A: The central theme of all the reforms is protecting the interests of policyholders while moving towards a principle-based regulatory regime. That regime advocates laying down guiding principles and not providing strict prescriptions. Thus, the insurers have been permitted to exercise choice as per their respective marketing strategies based on dynamic and

evolving demands of the market. All the general and health insurance products and a majority of the life insurance products are under the Use & File mechanism, thereby enhancing speed and fuelling innovation in launching insurance products. This could help enhance insurance inclusion in India. For example, today there is the need for DIY (do-it-yourself) products; several insurers have come out with such products. The present framework advocates for sufficient choice instead of providing any strict prescriptions, keeping the interests of policyholders central.

Q: Several insurtech companies have mushroomed recently, selling subscription-based plans. Many of them do not have a distributor's licence from the regulator and they tie up with insurance companies. How does the

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